

that have collectively raised more than US\$500 million. With a simplified GST regime, investors and entrepreneurs now have the policy certainty needed to scale operations.

Electric vehicles: No tax hikes, more confidence

Contrary to fears, all electric vehicles (EVs)—mass-market and luxury—will continue to enjoy the 5% GST slab with no additional cess.

Vasudha Madhavan, Founder and Chief Executive Officer of Ostara Advisors, calls it significant: “By removing the tax disparity between smaller EVs and larger SUV models, the policy creates a level playing field, improves affordability, and encourages greater consumer choice. It will also accelerate growth by keeping upfront costs low and strengthening the EV component ecosystem in India.”

Meanwhile, smaller petrol and diesel cars (under 4 metres, with engines up to 1200cc petrol and 1500cc diesel) will now be taxed at 18%. Larger internal combustion engine cars and strong hybrids face a uniform 40% tax, compared with earlier effective rates of 50% and 43%.

Sanyam Gandhi, Whole-time Director at Chartered Speed, broadens the mobility perspective: “Equally important is the relief on input costs, with GST on key components such as tyres, air-conditioners, engines, and other aggregates now rationalised.”

Renewable energy: Powered by tax breaks

Clean energy also gains under GST 2.0. Rates on renewable energy components, including solar cells,

modules, wind turbines, biogas plants, and green hydrogen equipment, have been cut from 12% to 5%.

Dhruv Sharma, Chief Executive Officer of Jupiter International Limited, calls it historic: “This move not only lowers the cost of solar and clean energy solutions but also energises the entire ecosystem—manufacturers, developers, and end users alike.”

The shift is expected to reduce renewable project costs by approximately 5%, making tariffs more affordable while boosting domestic manufacturing and green investment.

Beyond tax cuts: Jobs and MSMEs

“The government’s landmark GST reform represents a crucial step in simplifying India’s indirect tax regime. By consolidating most goods and services into two slabs and retaining a 40% sin tax on harmful products, the reform is designed to boost consumer spending, stimulate corporate demand, and ease compliance for millions of small businesses,” says Sachin Alug, Chief Executive Officer of NLB Services.

Lower GST rates on automobiles, appliances, and electronics are expected to drive volumes, create multiplier effects across the manufacturing sector, and lift allied sectors

such as retail, repairs, insurance, and financing.

Industry perspectives

Shashank Shekhar Gupta, a chartered accountant and lawyer, and founding partner at Marg Tax Advisors, explains that white goods, accumulators, and ignition equipment now enjoy significant cuts, potentially saving consumers up to ₹4500 on a ₹50,000 appliance.

The input tax credit (ITC), once available, remains infeasible. Streamlined refunds will see 90% released promptly to low-risk exporters via ICEGATE (Indian Customs Electronic Gateway), while the GST Appellate Tribunal is set to launch in September 2025. Aadhaar-based checks and automatic registration aim to curb fraud, and transitional rules provide clarity for businesses.

He outlines key takeaways for the electronics industry:

- Lower consumer prices will stimulate demand and strengthen order books.
- The two-slab structure aligns India with global Value-Added Tax (VAT) models in the European Union, Gulf Cooperation Council, and Malaysia.
- Rationalised slabs encourage localisation and scaling of supply chains.
- Automated refunds will ease liquidity for products in the 5% slab.
- Faster refunds will reduce working capital pressure across the B2B chain.
- Clear HSN (harmonised system of nomenclature) codes simplify compliance.

Gautam Ray, Senior Advisor to the India Cellular and Electronics

Key GST rate cuts for electronics

- Electric accumulators (excluding lithium-ion): 28%→18%
- Select categories under 8525 60: 12%→5%
- Electric ignition and starting equipment: 28%→18%
- White goods such as TVs, refrigerators, and air-conditioners: 28%→18%

Lower GST rates mean lower prices, stronger demand, and a boost for domestic electronics manufacturing.

Establishment & Functionality of GSTAT

Accepting Appeals by September End

GSTAT will start accepting appeals before the end of September 25 and hearings will commence from December 25

Deadline for filling Backlog Appeals

A time limit for filing backlog appeals is set until June 30, 2026 business should expedite the resolution of pending disputes

GSTAT to also function as National Appellate Authority for Advance Ruling

56th GST Council announcements (Source: ELCINA, Shashank Shekhar Gupta)